

BRIDGE AS A MODEL OF ECONOMIC BEHAVIOUR: SIGNALS, STRATEGY, AND REAL-WORLD PARALLELS

This paper investigates how the rules and decision structure of competitive bridge generate economic behaviours such as signalling, strategic commitment, and risk-sensitive choice under conditions of asymmetric information and uncertainty. Despite extensive research on bridge from computational and cognitive perspectives, no prior work treats it as an operational model for understanding and teaching economic behaviour, a gap this paper addresses.

The method is conceptual-analytical case mapping: specific gameplay situations from bidding and play are selected and systematically mapped to economic theories on the basis of information structure, incentives, signalling, and strategic interaction. Evidence is drawn from six structured gameplay cases analysed against established bridge logic and instructional literature.

The analysis identifies several recurring patterns. Bids function as constrained, costly signals in which only strong hands can credibly commit to high contracts, mirroring Spence's signalling model. Vulnerability conditions alter risk thresholds, producing behaviours consistent with risk aversion theory. Sacrifice bidding reflects opportunity-cost reasoning, and defensive carding involves a coordination-disclosure trade-off structurally equivalent to signalling under asymmetric information. These patterns map directly onto real-world settings including takeover auctions, procurement tenders, market entry strategy, and investment portfolio construction.

This analysis demonstrates that bridge is not merely a card game but a microcosm of decision-making under uncertainty, embedding game theory, microeconomics, and behavioural economics organically within its rules - offering both analytical and pedagogical value for economics research and education.